

DEA-ICSI-IGIDR Roundtable on implementing the IFC: *Prudential Regulation*

Boardroom on the 26th floor, BSE

11 a.m to 3 p.m., 22nd February 2014

Background

This roundtable is part of a series focused on the question of how the Indian Financial Code (IFC) is to be implemented, when it is passed as law. These roundtables focus on the financial agencies (FA) in the IFC that have the power to make and enforce regulations. This involves three steps: a careful reading of the draft law to understand what the IFC requires; how regulation is made and enforced in the current regulatory system; and if there is a gap between the two, to identify steps to bridge the gap.

Previous roundtables have focussed on details of (a) the regulatory governance of the legislative function (14th December, 2013), and (b) the regulatory governance of the judicial function within the FAs as well as the functioning of the Financial Sector Appellate Tribunal, FSAT (17th January, 2014).

This roundtable proposes to cover the provisions in the IFC for the executive functions of the financial agencies (FA). These largely target the area of *microprudential regulations*, which is the process by which FAs supervise the functioning of financial service providers.

Agenda

11:00 a.m. – 1:00 pm	Topics: <i>Objectives and principles of microprudential regulation; Authorization; Prudential requirements;</i>
1:00 p.m. – 2:00pm	Lunch
2:00 p.m. – 3:00pm	Topics: <i>Provisions governing specific transactions; Functions and powers of the regulator</i>

Reading

The framework for microprudential regulation of the financial service providers is covered in **Part V, Chapters 32–37**. The details of these sections are as follows:

- **Sections 140 – 141:** Objectives and principles of microprudential regulation;
- **Sections 142 –150:** Process of authorisation of financial service providers by FAs;
- **Sections 151 – 162:** Prudential requirements with respect to capital, liquidity, investment, governance, risk management and outsourcing;
- **Sections 167 – 168:** Provisions governing specific transactions; and
- **Sections 169 – 174:** Functions and powers of the regulator.